

Understanding Companies Limited by Guarantee (CLGs) in Kenya

A Practical Guide to Incorporation, Governance and Compliance

Prepared for the LexReg Portal

A Company Limited by Guarantee (CLG) is a company incorporated under Kenya's Companies Act, 2015 that has no share capital and whose members undertake to contribute a stated amount to the company's assets if it is liquidated. The members are guarantors rather than shareholders.

CLGs are commonly used for non-profit, membership, professional, charitable, educational, social and public-interest bodies that need separate legal personality. The CLG is nevertheless a company and remains subject to the Companies Act, including corporate governance, annual returns, beneficial ownership and statutory-record obligations.

For LexReg, the CLG should therefore be treated as a corporate entity with a distinctive membership and guarantee structure—not as a trust, society or ordinary company with shares.

1. What Is a Company Limited by Guarantee?

Subscribers / Guarantors
↓
Memorandum + Articles
↓
Company Limited by Guarantee
↓
Separate Legal Personality
↓
Governance + Compliance

The defining legal features are: no share capital; members whose liability is limited to their contractual guarantee on liquidation; and a certificate of incorporation identifying the entity as a company limited by guarantee.

2. Members Are Guarantors, Not Shareholders

A CLG does not issue shares. Its members instead undertake to contribute a specified amount if the company is liquidated in the circumstances prescribed by the Companies Act.

LexReg should therefore avoid shareholder terminology and maintain a dedicated Member / Guarantor Register.

- full legal name;
- identity or incorporation details;
- KRA PIN where applicable;
- nationality and contact/address particulars;

- date admitted as member;
- amount of guarantee;
- membership class, if any;
- voting and governance rights;
- office held, if any;
- beneficial ownership/control indicators; and
- date and reason for cessation.

3. The Guarantee

The statement of guarantee identifies the subscribers and records the undertaking of each member to contribute to the company's assets if it is liquidated while that person is a member or within twelve months after cessation, as provided by section 15 of the Companies Act.

LexReg should capture the guarantee amount as a structured field and preserve the historical guarantee attached to each membership record.

4. Separate Legal Personality

Once incorporated, the CLG is a legal person separate from its members and directors. It can own assets, enter contracts, employ staff, incur liabilities and sue or be sued in its own name.

The portal should therefore maintain the CLG's assets, contracts, employees, bank accounts and obligations separately from those of its members.

5. Typical Uses

- charitable or philanthropic organisations;
- professional and industry membership bodies;
- educational or research institutions;
- clubs and associations requiring corporate personality;
- foundations and public-interest initiatives;
- trade or sector bodies; and
- other non-profit or membership organisations.

A CLG's legal form does not by itself confer charitable status, tax exemption or any particular sector licence. Those are separate legal and regulatory questions that LexReg should test through conditional modules.

6. CLG vs Society vs Trust

- CLG: incorporated company with separate legal personality under the Companies Act.
- Society: membership organisation registered under the Societies Act and governed by its constitution.
- Trust: fiduciary arrangement in which trustees hold or manage property for stated purposes or beneficiaries; incorporated trusts have their own statutory framework.
- A charitable purpose can potentially be pursued through different legal forms, but each form has different governance, registration and compliance consequences.

LexReg should ask the user what legal form has actually been adopted rather than infer the entity type merely from its charitable or non-profit purpose.

7. Name of the Company

A CLG is a limited company. Naming rules under the Companies Act apply, including the general requirement for a private limited company's name to end with 'limited' or 'ltd', unless a lawful exemption is granted.

Section 55 allows the Cabinet Secretary, by notice, to exempt a private company from the requirement to use 'limited' or 'ltd'. LexReg should therefore record whether such an exemption exists rather than assume it.

8. Subscribers and Initial Members

One or more persons may form a company by subscribing to the memorandum and complying with the registration requirements.

For each subscriber, LexReg should capture identity, address, contact information, guarantee amount and any initial governance role.

9. Directors

A CLG is governed through directors under the Companies Act and its Articles.

LexReg should maintain a Director Register containing:

- full legal name;
- identity/passport particulars;
- KRA PIN where applicable;
- nationality;
- service and residential addresses;
- date of birth and prescribed particulars;
- consent to act;
- appointment date;
- office or committee role;
- conflict declarations; and
- cessation date and reason.

Director information should be linked to the person's reusable LexReg profile while preserving CLG-specific role data.

10. Company Secretary or Contact Person

Under the current Companies Act, a company limited by guarantee may appoint a company secretary.

Where a CLG has neither a company secretary nor a resident director, section 243A requires appointment of a contact person who is a natural person permanently resident in Kenya. The contact person keeps copies of specified company records and makes them available to competent authorities and the Registrar.

LexReg should therefore use conditional logic:

Does CLG have Company Secretary?
↓
If No → Does it have Resident Director?
↓
If No → Contact Person Required
↓
Record Appointment + Address + Responsibilities

11. Memorandum of Association – CR3

The prescribed memorandum for a company limited by guarantee is Form CR3. The memorandum records the subscribers' intention to form the company and become members.

LexReg should distinguish CR3 from CR2, which is the model memorandum used for a company with share capital.

12. Articles of Association

The Companies (General) Regulations prescribe model articles specifically for companies limited by guarantee. Bespoke Articles may also be relevant, subject to law.

For LexReg, the Articles should be translated into structured governance rules where practical:

- objects/purposes;
- membership eligibility;
- admission and cessation;
- classes of membership;
- member voting rights;
- general meetings;
- directors and their appointment/removal;
- board quorum and voting;
- committees;
- conflicts of interest;
- use of income and property;
- financial controls;
- amendment procedures; and
- winding-up provisions.

13. Current BRS Incorporation Documents

The current BRS fee schedule identifies the core documents for registration of a Company Limited by Guarantee as:

- CR1 – Application to register a company;
- CR3 – Memorandum for a company limited by guarantee; and

- CR8 – Notice of residential address / change of address of a director.

BRS currently states that registration is completed after receipt of a vetting report from the National Intelligence Service (NIS). Because administrative procedures can change, LexReg should treat this as a configurable workflow step rather than hard-code an immutable portal sequence.

14. Suggested Incorporation Workflow

Create / Identify Subscriber Profiles
↓
Proposed CLG Name
↓
Objects / Purpose
↓
Registered Office
↓
Members + Guarantee Amounts
↓
Directors
↓
Secretary / Contact Person Logic
↓
Articles + Governance Rules
↓
Beneficial Ownership / Control
↓
Generate / Review BRS Forms
↓
Submit + Vetting Process
↓
Certificate of Incorporation
↓
Create Permanent LexReg CLG Workspace

15. Core Documents for LexReg

- identity documents for individual subscribers/directors;
- KRA PIN documents where applicable;
- corporate verification documents for corporate members, if any;
- CR1;
- CR3;
- CR8;

- Articles of Association;
- beneficial ownership information and filings;
- secretary/contact-person documentation where applicable;
- sector or regulator approvals where triggered; and
- Certificate of Incorporation once issued.

Document requirements should be conditional and should expand only where the facts create an additional legal or regulatory requirement.

16. OCR and Reuse of Profiles

Upload Identity / Corporate Documents
↓
OCR + Structured Extraction
↓
Review & Verify
↓
Assign Member / Director Role
↓
Capture Guarantee + Governance Data
↓
Registration + Permanent Record

A member or director who already has a verified LexReg profile should not re-enter stable identity information. The CLG workflow should request only entity-specific information and changed data.

17. Membership Register

The Member Register is central to a CLG because there is no share register.

- current and former members;
- admission date;
- guarantee amount;
- membership class;
- voting rights;
- office held;
- status;
- cessation date; and
- supporting approvals/documents.

The register should preserve history rather than overwrite previous membership records.

18. Classes of Members

A CLG may have different classes of members if permitted by its constitutional framework. The Companies Act provides forms for rights of classes of members in companies without share capital.

LexReg should support class-based rights where applicable and use CR21/CR22 workflows when the statutory trigger arises.

19. Beneficial Ownership – CLG-Specific Rules

Beneficial ownership for a CLG cannot be determined by shareholding because the company has no share capital. The 2023 amendments to the Beneficial Ownership Information Regulations therefore provide CLG-specific tests.

A natural person may qualify as a beneficial owner of a CLG if, individually or jointly, the person:

- exercises at least 10% of the voting rights directly or indirectly;
 - has a right to exercise, or actually exercises, significant influence over the running of the CLG;
 - has the right, directly or indirectly, to appoint or remove any director;
 - has the right, directly or indirectly, to direct or veto distributions of funds, assets or investment decisions;
- or
- has the right, directly or indirectly, to liquidate the CLG.

LexReg should therefore use a CLG-specific beneficial ownership questionnaire rather than the shareholding questionnaire used for a company limited by shares.

20. Beneficial Ownership Register

Every company is required to keep a register of beneficial owners and lodge prescribed information with the Registrar.

For a CLG, LexReg should record:

- full name;
- identification number;
- PIN where applicable;
- nationality and date of birth;
- postal, business and residential addresses;
- telephone and email;
- occupation/profession;
- nature of control or influence;
- date beneficial ownership commenced;
- changes in particulars; and
- date of cessation.

21. Board Governance

- board composition;
- appointments and cessations;
- meeting calendar;
- notices and agendas;

- quorum;
- board papers;
- conflict declarations;
- resolutions;
- minutes;
- delegated authorities; and
- committee structure.

The system should derive the decision matrix from the Companies Act and the CLG's Articles.

22. General Meetings and Member Decisions

Member governance should be supported through structured meeting and resolution workflows.

- meeting type;
- notice;
- agenda;
- eligible members;
- voting rights by class;
- quorum;
- proxies where permitted;
- ordinary/special resolutions;
- minutes; and
- Registrar filings triggered by resolutions.

23. Use of Funds and Assets

For many CLGs, restrictions on the use of income, property and distributions are fundamental to the entity's purpose and Articles.

LexReg should therefore allow governance rules for:

- permitted expenditure;
- grants and donations;
- restricted funds;
- investment approvals;
- related-party transactions;
- asset disposals;
- director/member benefits;
- conflict approvals; and
- winding-up distribution rules.

Where the CLG has charitable or donor-funded activities, separate donor, tax and sector requirements can be layered onto this core corporate framework.

24. Annual Returns

A CLG remains subject to company annual-return obligations. The Companies (General) Regulations specifically require an annual return for a company without share capital to state, among other matters, the number of members.

LexReg should generate the annual-return event automatically and pre-populate it from the live company registers.

25. Financial Statements, Accounting and Audit

The CLG should maintain accounting records and comply with the financial reporting and audit requirements applicable under the Companies Act and any other law or regulatory regime applying to it.

- financial year end;
- books of account;
- bank accounts;
- budgets;
- restricted/unrestricted funds where relevant;
- financial statements;
- auditor and audit status where required;
- board/member approval;
- filing/circulation obligations; and
- donor or sector reporting where applicable.

LexReg should determine audit and reporting requirements from current law and the CLG's circumstances rather than assume that every non-profit entity has identical obligations.

26. Tax and Tax-Exempt Status

Incorporation as a CLG does not itself establish tax exemption. Tax registration, exemption and reporting should be handled as separate compliance questions based on current tax law, the entity's purposes and activities.

LexReg should therefore distinguish:

CLG Legal Form
↓
KRA Tax Profile
↓
Exemption Status (if any)
↓
Ongoing Tax / Exemption Conditions
↓
Renewal / Reporting Tasks

27. Employees and Volunteers

A CLG may employ staff and may also work with volunteers. These categories should not be conflated.

- employment contracts and employee records;
- payroll/statutory deductions;
- leave and workplace policies;
- health and safety;
- disciplinary/grievance processes;
- volunteer agreements/policies;
- safeguarding where relevant; and
- termination/exit records.

28. Donations, Grants and Donor Compliance

Where the CLG receives grants or donations, LexReg can activate a funding-compliance module.

- grant/donor agreement;
- purpose restrictions;
- budget;
- reporting dates;
- procurement conditions;
- anti-fraud/anti-corruption undertakings;
- asset ownership;
- audit requirements;
- data/privacy conditions; and
- close-out obligations.

29. Sector-Specific Regulation

The CLG form does not replace licences or registrations required for the activity actually carried on.

- education;
- health;
- professional regulation;
- religious or faith-based activity;
- charitable/public-benefit regulation;
- fundraising;
- data protection;
- county permits;
- employment;
- environmental obligations; and
- other regulated activities.

30. Changes in Directors, Members and Registered Particulars

LexReg should create event-driven workflows whenever a registrable or governance change occurs.

Change Occurs
↓
Internal Approval
↓
Update Company Register
↓
Generate Required BRS Filing
↓
Update BO Analysis
↓
Preserve Historical Record

Director changes should trigger the relevant CR6–CR9 workflows; registered-office changes should trigger CR16; secretary changes, where applicable, should trigger the relevant secretary forms.

31. Admission and Cessation of Members

Membership changes should follow the Articles and be reflected promptly in the Member Register.

- application/nomination if required;
- eligibility check;
- required approval;
- guarantee undertaking;
- effective admission date;
- voting/class rights;
- BO review;
- cessation trigger;
- effective cessation date; and
- historical preservation.

32. Charges, Assets and Contracts

Because the CLG is a separate legal person, LexReg should maintain corporate registers for significant assets, contracts and security interests.

- Asset Register;
- Contract Register;
- Grant/Donation Register where relevant;
- Charge/Security Register;
- Insurance Register; and
- Litigation/Dispute Register where appropriate.

33. Legal and Governance Audit

The LexReg audit should test both Companies Act compliance and the organisation's own constitutional rules.

- valid incorporation and registered particulars;
- Member Register;
- Director Register;
- secretary/contact-person requirement;
- beneficial ownership;
- annual returns;
- financial reporting/audit;
- board and member decisions;
- Articles compliance;
- guarantee records;
- tax/exemption status;
- donor restrictions;
- employment/data protection;
- sector licences;
- charges/assets/contracts; and
- winding-up provisions.

34. Winding Up

On winding up, members' liability is governed by their guarantee and the Companies Act. The CLG's Articles may also contain important rules governing application of remaining assets, particularly for non-profit or charitable organisations.

LexReg should manage:

- legal trigger and approvals;
- creditors and liabilities;
- member guarantees where relevant;
- employees;
- contracts and grants;
- restricted assets/funds;
- tax and regulatory closure;
- charges;
- distribution/application of remaining assets under law and the Articles;
- Registrar/Court/insolvency processes as applicable; and
- final record retention.

35. How LexReg Can Help

Incorporation

- OCR-led subscriber/director onboarding;
- CR1/CR3/CR8 workflow;
- guarantee capture;
- Articles builder/upload;
- secretary/contact-person logic;
- CLG-specific BO questionnaire;
- vetting-status tracking; and
- Certificate storage.

Governance

- Member / Guarantor Register;
- Director Register;
- membership classes;
- Articles rule extraction;
- board and general meetings;
- resolutions;
- authority matrix;
- fund-use restrictions; and
- conflict register.

Compliance

- annual returns;
- beneficial ownership updates;
- director/member changes;
- registered-office changes;
- financial reporting/audit;
- tax and exemption calendar;
- employment;
- data protection;
- sector licences; and
- donor/grant obligations.

Legal & Governance Review

- missing/outdated registers;
- BO gaps;
- unrecorded membership/director changes;
- failure to appoint a required contact person;
- Articles inconsistencies;

- late annual returns;
- tax/exemption gaps;
- donor restrictions at risk;
- licensing gaps; and
- winding-up/asset-lock issues.

36. Suggested LexReg Data Architecture

Individual / Corporate Profiles
↓
CLG Entity Profile
↓
Member / Guarantor Register
↓
Directors + Secretary / Contact Person
↓
Articles + Governance Rules
↓
Beneficial Ownership Register
↓
Funds + Assets + Contracts + Employees
↓
Compliance Calendar
↓
Legal & Governance Audit

This architecture allows the CLG's members and directors to be reused across other LexReg entities while preserving the CLG's own separate corporate identity and compliance record.

37. The Key Principle

A Company Limited by Guarantee is a company without share capital. Its members do not own shares; instead, they participate through membership and undertake a limited guarantee on liquidation.

Members form the CLG
↓
Guarantees replace share capital
↓
Directors govern the company
↓
Articles define membership and decision rules
↓
Beneficial ownership focuses on control rather than shares

Members form the CLG
↓
Corporate compliance continues throughout the lifecycle

For LexReg, the critical design requirement is therefore to replace share-centric company logic with membership, guarantee and control logic while retaining the full corporate-governance and compliance framework of a registered company.

Important Note

This guide provides general information about Companies Limited by Guarantee in Kenya. It does not constitute legal, tax, charitable-status, regulatory or financial advice. BRS procedures, vetting requirements, tax-exemption rules and sector requirements can change and should be verified when action is taken.

Key Legal and Regulatory References

- Companies Act, 2015 – Kenya Law: <https://new.kenyalaw.org/akn/ke/act/2015/17/>
- Companies (General) Regulations, 2015 – Kenya Law: <https://new.kenyalaw.org/akn/ke/act/ln/2015/239/>
- Companies (Beneficial Ownership Information) Regulations – Kenya Law: <https://new.kenyalaw.org/akn/ke/act/ln/2020/12/>
- Business Registration Service – Entities Registered: <https://brs.go.ke/entities-registered/>
- Business Registration Service – Company Registry Forms: <https://brs.go.ke/forms/>
- Business Registration Service – Companies Registry Fee Schedule: <https://brs.go.ke/fee-schedule-companies-registry/>